EXECUTIVE SUMMARY

1. Introduction

The Municipality of Langgangan, now Sta. Praxedes, Cagayan was formally established when it became a township of Cagayan Valley by virtue of Executive Order No. 65 of Governor Leonard Wood on November 11, 1922. It was renamed Sta. Praxedes in 1977 by virtue of Republic Act No. 1449. It consists of ten (10) barangays with a total land area of 110 sq. km. It is classified as a fifth class municipality.

The audit covered the accounts and operations of the Municipal Government of Sta. Praxedes, Cagayan for the year 2014 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Sta. Praxedes for the year ended December 31, 2014, with comparative figures for CY 2013, are as follows:

	2014	2013	Increase (Decrease)
Financial Condition			
Total Assets	P 32,348,779.09	P 28,131,024.63	P 4,217,574.46
Total Liabilities	1,961,732.36	5,475,800.54	(3,514,068.18)
Total Government Equity	25,134,962.94	22,655,224.09	2,479,738.85
Results of Operation			
Total Income	P 37,701,675.71	P 33,281,302.78	P 4,420,372.93
Total Expenses	35,076,211.33	32,094,271.00	2,981,940.33
Appropriations, Allotments and Obligations			
Appropriations	P 40,708,850.00	P 36,225,941.66	P 4,482,908.34
Allotments	40,708,850.00	36,225,941.66	4,482,908.34
Obligations	36,144,475.53	32,928,880.41	3,215,595.12

Comparative Statement of Funds Transfer to and from NGA's, NGO's and PO's.

	2014	2013	Increase/(Decrease)
Fund Transferred to Other Agencies:			
Due from NGAs	0.00	0.00	0.00
Due from GOCCs	0.00	0.00	0.00
Due from LGUs	0.00	0.00	0.00
Due from NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
TOTAL	0.00	0.00	0.00
Fund Received from Other Agencies:			
Due to Other NGAs	P 9,962,460.00	P 3,734,675.00	P 6,227,785.00
Due to LGUs	3,851,481.54	3,436,531.83	414,949.71
Due to NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
TOTAL	**P 13,813,941.54**	**P 7,171,206.83**	**P 6,642,734.71**

Operational Highlights

Major Activities/Programs/Projects	***Target***	***Accomplishments***	***% of Accomplishments***
1 Continuation of Multi-Purpose Building at Portabaga Falls & Resort	P 900,000.00	P 900,000.00	100%
2 Maintenance & Operation of Portabaga Falls	300,000.00	300,000.00	100%
3 Maintenance of existing Municipal Roads	320,000.00	320,000.00	100%
4 Concreting, Construction of Municipal Streets and drainage canals	498,157.00	488,069.00	97.97%
5 Assistance to NGO's, PO's & Other Sectoral Groups	1,250,000.00	1,240,000.00	99.20%

3. Independent Auditor's Report on the Financial Statements

The auditor rendered an unqualified opinion on the presentation of the financial statements of the municipality of Sta. Praxedes as of December 31, 2014.

4. Summary of Significant Findings and Recommendations

For CY 2014, the municipality of Sta. Praxedes thru the leadership of Honorable Esterlina Aguinaldo Ramos and the members of the Legislative Body and Executive Staff, received the IDDU Honor Role Award given by Philippine Information Agency for Outstanding Women of Region 02.

However, the audit team noted the following audit observations with its recommendations to improve the performance and financial operations of the municipality;

1. **Actual disbursements on personal services of the municipality for CY 2014 has exceeded its PS Limitation by P2,608,829.00 contrary to Section 325 (a) of Republic Act 7160 and Local Budget Circular No. 98 dated October 14, 2011.**

   We recommended that the Municipality prepare budget in accordance with Section 325(a) of R. A. 7160 and Local Budget Circular (LBC) 98 to ensure that the Local Government Unit operates within its appropriation, adequate funds are allocated for the delivery of basic services and development projects, and to avoid incurrence of excess expenditures against appropriation.

2. **Disbursements against the 20% Development Fund in the total amount of P3,843,012.28 or 55.86% of the total appropriation of P6,879,605.80 were not in accordance with the "development" objectives envisioned in Joint Memorandum Circular No. 2011-1 dated April 13, 2011 of the DILG and DBM thereby depriving the constituents of the Municipality of the immediate benefit that could be obtained from the mandated developmental programs and projects.**

   We recommend that the Local Chief Executive and other concerned officials ensure that the 20% Development Fund shall be spent solely for its specific/intended purpose and adhere strictly with the provisions of Joint Memorandum Circular No. 2011-1 dated April 13, 2011 of the DILG and DBM to avoid disallowances in audit pursuant to Item No. 12, Annex B of of COA Circular No. 2012-003 dated October 29, 2012 or the Guidelines for the Prevention and Disallowance of Irregular, Unnecessary, Excessive, Extravagant and Unconscionable Expenditures.

3. **The Municipality paid honoraria to the members of the Municipal Bids and Awards Committee totaling P102,000.00 as of December 31, 2014 from various sources contrary to the provisions of Department of Budget and Management (DBM) Budget Circular No. 2007-3 dated November 29, 2007 and Local Government Code of 1991.**

We recommend that Management strictly conform to the provisions of DBM Circular No. 2007-3 and pertinent provisions of the Local Government Code of 1991 on the payment of honoraria. Payment should be made only when the claim is supported with complete documentary requirements. Accordingly, submit the required documentary requirements stated above, otherwise employees concerned are required to refund.

Likewise, Mr. Fabian L. Arugay is required to refund the excess cash advance of P20,000.00 and the accounting department to correct/adjust the accounts affected.

4. **Local Disaster Risk Reduction and Management Fund (LDRRMF) amounting to P360,000.00 was used to pay Calamity Assistance to all officials and employees of the municipality in violation of Republic Act No. 10121 dated May 27, 2010, COA Circular No. 2012-002 dated September 12, 2012, and DBM- DILG Joint Memorandum Circular No. 2013-1 dated March 25, 2013.**

   We recommend that management strictly adhere to the pertinent provision of Republic Act No. 10121 dated May 27, 2010, COA Circular No. 2012-002 dated September 12, 2012, and DBM- DILG Joint Memorandum Circular No. 2013-1 dated March 25, 2013.

5. **Cash advances for payroll amounting to P38,435.23 as of December 31, 2014 remained unliquidated contrary to Section 89 of P.D 1445 and COA Circular No. 97-002 dated February 10, 1997.**

   We recommended that the Municipal Treasurer to liquidate immediately the amount of P38,435.23 representing payroll fund as of December 31, 2014. Likewise, strictly follow the rules and regulations on the granting, utilization and liquidation of cash advances pursuant to Section 89 of P. D. 1445 and COA Circular No. 97-002 dated February 10, 1997.

6. **The municipality paid wages amounting to P2,828,660.00 in hiring an average of fifty (50) job order personnel every month without clear and written program, policy guidelines in hiring or engaging the services of job order employees, which may result to excessive workforce, work duplication and eventual waste of financial resources. Likewise, payments were made even without proper documentation in violation of Section 4 of P.D. 1445 and Section 1.2.1 of COA Circular No. 2012-001 dated June 14, 2012.**

   For the above observation, we recommend management to formulate a Program/Policy Guidelines in the hiring of job order personnel, taking into consideration the necessity of hiring and the reasonable number of job order employees to be assigned in the different offices in order to avoid excessive manpower and work duplication. The Municipal Accountant should see to it that all disbursements were supported with complete documentation before paying the

claim pursuant to Section 4 of Presidential Decree 1445 and Section 1.2.1 of COA Circular No. 2012-001 dated June 14, 2012 under the job order positions.

5. Summary of Total Suspensions, Disallowances and Charges as of year-end

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	0.00	0.00	0.00	0.00	0.00%
Disallowances					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	0.00	0.00	0.00	0.00	0.00%
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	0.00	0.00	0.00	0.00	0.00%

6. Status of Implementations of Prior Years' Audit Recommendations

Out of six (6) audit recommendations in 2013 Annual Audit Report (AAR), three (3) were fully implemented and three (3) were partially implemented. The Status of Implementation of Prior Year's Audit Recommendations is shown in Part III of this report.